

**BANARAS HINDU UNIVERSITY**

B.Com. (Hons.) FMM — Semester II Examination, 2021-22

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**Paper No. BCF-125: Fundamentals of Banking**

Time: 3 Hours

Maximum Marks: 70

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*Instructions: Answer all questions. All questions carry equal marks (14 marks each).*

**Question 1.** What do you understand by Commercial Bank? Explain the concept of customer-bank relationship. [14]

**OR**

Give a brief note on the role of banking in the Indian Economy. [14]

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**Question 2.** Describe the different types of banks and explain their functions. [14]

**OR**

What is a Central Bank? Differentiate between a Commercial Bank and a Central Bank. [14]

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**Question 3.** Explain the process of deposit mobilization of a Commercial Bank. [14]

**OR**

Explain the role of the Reserve Bank of India (RBI) in the credit control process. [14]

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**Question 4.** What is priority sector lending? Explain the targets and categories under priority sector lending. [14]

**OR**

Explain the different kinds of charge over securities. [14]

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**Question 5.** Discuss the concept of Development Banks and describe the major problems faced by development banks in the post-liberalisation era. [14]

**OR**

Give brief notes on any two of the following: [14]

(a) NABARD

(b) ICICI

(c) SIDBI

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